

Table 1: Cost-side regressions with elasticity interactions (levels, domestic vehicles)

Dependent Variable:		ln_costs	
Model:		(1)	(7)
<i>Variables</i>			
ln(size)		0.5184*** (0.1904)	0.4515** (0.1900)
ln(weight)		0.4592* (0.2724)	0.4227 (0.2632)
ln(hp)		0.2233** (0.0867)	0.2345*** (0.0837)
ln(mpg)		-0.0878 (0.0736)	-0.0437 (0.0664)
$\rho_{j,t-1} \times \log(RED_{jt})$		0.7148*** (0.2577)	4.488*** (1.402)
$\varepsilon_{j,t} \times \log(RED_{jt})$			0.0158 (0.0130)
$\rho_{j,t-1} \times \log \varepsilon_{j,t} \times \log(RED_{jt})$			-1.817** (0.7477)
$\varepsilon_{j,t-1} \times \log(RED_{jt})$			0.0134 (0.0130)
$\rho_{j,t-1} \times \log \varepsilon_{j,t-1} \times \log(RED_{jt})$			-1.308* (0.6604)
<i>Fixed-effects</i>			
make_model		Yes	Yes
year		Yes	Yes
<i>Fit statistics</i>			
Observations		323	323
R ²		0.98572	0.98711
Within R ²		0.30631	0.37407

Clustered (make_model) standard-errors in parentheses

Signif. Codes: ***: 0.01, **: 0.05, *: 0.1

Table 2: Cost-side regressions with elasticity interactions (first differences, domestic vehicles)

Dependent Variable: Model:	(1)	(6)	(7)
<i>Variables</i>			
$\ln(\text{size})$	0.5745*** (0.1910)	0.5741*** (0.1957)	0.5701*** (0.1967)
$\ln(\text{weight})$	0.7051** (0.3330)	0.6988** (0.3359)	0.7013** (0.3358)
$\ln(\text{hp})$	0.2647** (0.1014)	0.2628** (0.1034)	0.2663** (0.1015)
$\ln(\text{mpg})$	-0.0249 (0.0632)	-0.0186 (0.0615)	-0.0267 (0.0627)
$\rho_{j,t-1} \times \log(RED_{jt})$	0.6618** (0.2575)	1.489 (1.851)	0.0905 (1.385)
$\varepsilon_{j,t} \times \log(RED_{jt})$		0.0075 (0.0216)	
$\rho_{j,t-1} \times \log \varepsilon_{j,t} \times \log(RED_{jt})$		-0.3438 (0.9859)	
$\varepsilon_{j,t-1} \times \log(RED_{jt})$			0.0112 (0.0233)
$\rho_{j,t-1} \times \log \varepsilon_{j,t-1} \times \log(RED_{jt})$			0.4207 (0.8072)
<i>Fixed-effects</i>			
year	Yes	Yes	Yes
<i>Fit statistics</i>			
Observations	207	207	207
R ²	0.36219	0.36457	0.36308
Within R ²	0.27203	0.27475	0.27304
<i>Clustered (make_model) standard-errors in parentheses</i>			
<i>Signif. Codes: ***: 0.01, **: 0.05, *: 0.1</i>			